

FEDERAL MARITIME COMMISSION

DOCKET NO. 20-04

**DIP SHIPPING COMPANY, LLC -- REVOCATION OF OCEAN TRANSPORTATION
INTERMEDIARY LICENSE NO. 018752**

**BUREAU OF ENFORCEMENT SUBMISSION OF MATERIALS
SUPPORTING NOTICE OF REVOCATION**

Pursuant to Rule 702 of Subpart X of the Federal Maritime Commission (Commission or FMC) Rules of Practice and Procedure, 46 C.F.R. § 502.702, the Bureau of Enforcement (BOE) submits copies of the Notice of Revocation issued to Dip Shipping Company, LLC (Dip Shipping) by the Commission's Bureau of Certification and Licensing (BCL), as well as an appendix of materials supporting the Notice to the presiding Administrative Law Judge (ALJ) and the Respondent.

On February 19, 2020, BCL issued a Notice of Intent to Revoke the ocean transportation intermediary (OTI) license of Dip Shipping on the basis that neither Mr. Roberto Dip nor Dip Shipping are qualified to provide intermediary services based on their respective criminal guilty pleas recently accepted by the U.S. District Court for the Southern District of Florida. Moreover, the failure of Dip Shipping or its replacement Qualifying Individual (QI) to disclose the guilty plea of Dip Shipping in its corporate capacity serves as an additional basis for BCL's determination. On March 5, 2020, pursuant to the Commission's regulations at 46 C.F.R. §§ 515.17 and 502.702, Dip Shipping submitted a request for a hearing to the Office of the Secretary.

On March 16, 2020, the Commission issued a Notice of Hearing Request and Assignment transmitting this matter to the Office of Administrative Law Judges. On March 18, 2020, the

presiding ALJ issued a Notice and Initial Order (Notice) advising BOE of Dip Shipping's request for a hearing and BOE's resulting obligation to submit to the ALJ and Dip Shipping a copy of BCL's Notice of Intent to Revoke and a copy of BCL's materials supporting the Notice, which are to be filed with the ALJ and served on Dip Shipping, April 20, 2020.

The ALJ's Notice also indicated BOE may file a brief outlining its legal arguments, proposed findings of fact, and additional information. That filing would likewise be due on April 20, 2020. BOE has considered whether to make such a filing, but respectfully declines the opportunity. BOE will submit its response to Dip Shipping pursuant to Rule 704 of the Commission's Rules of Practice and Procedure at 46 C.F.R. § 502.704, within 20 days of Dip Shipping having filed its response.

As an additional matter, on March 23, 2020, counsel for Dip Shipping sent an email to BOE expressing his intent to seek discovery in this proceeding in the form of interrogatories, requests for production of documents and depositions. Subpart J of the Commission's regulations normally governs all discovery matters in Commission proceedings, however, Rule 709, 46 C.F.R. § 502.709, sets out the permissible process under the new Subpart X. While Rule 709(b) enumerates certain limited exceptions, it should be noted that none of those listed items includes any portion of Subpart J. This aligns with the Commission's intent to "ensure a more streamlined procedure than a typical hearing under part 502, which allows for 150 days for discovery, while giving the presiding officer more flexibility in conducting the hearing than the current § 515.17 procedures." 85 Fed. Reg. 5580 (Jan. 31, 2020). In an accompanying footnote to that statement, the Commission specifically explained its rationale as follows, "[g]iven that the record in OTI license application and revocation/suspension [sic] is generally more limited, such a substantial discovery process is not necessary." *Id.* Consequently, BOE requests that any forthcoming

discovery matters proposed by Respondent in this proceeding be denied *sua sponte* by the ALJ on the basis that discovery and depositions are outside the scope of the Commission's rules in Subpart X.

Respectfully submitted,

**BENJAMIN
TROGDON**

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CERTIFICATE OF SERVICE

I hereby certify that on this **20th** day of April 2020, a copy of the foregoing document has been served via email upon Peter Quinter at peter.quinter@gray-robinson.com.

**BENJAMIN
TROGDON**

Digitally signed by
BENJAMIN TROGDON
Date: 2020.04.20
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Benjamin K. Trogdon